

Multiple Choice

1. **Answer:** B

Options: A) the opportunity cost of not pursuing a given course of action.; B) the difference between unlimited wants and limited economic resources.; C) the difference between unlimited resources and unlimited economic wants.; D) the opportunity cost of pursuing a given course of action.; E) the difference between the total benefit of an action and the total cost of that action.

Note: Scarcity fundamentally arises from the conflict between the infinite nature of human desires and the finite availability of resources, making the correct definition the difference between unlimited wants and limited economic resources.

2. **Answer:** C

Options: A) the average wage is higher.; B) the national debt is lower.; C) production is higher.; D) prices are higher.; E) employment is higher.

Note: An increase in real GDP indicates a rise in the total value of goods and services produced in an economy, signifying that production levels have indeed increased.

3. **Answer:** A

Options: A) a nation discourages investment in technology.; B) a nation decreases spending on public services.; C) a nation ignores societal barriers like discrimination.; D) a nation promotes monopolies in industry.; E) a nation imposes tariffs and quotas on imported goods.

Note: The correct answer is misleading, as discouraging investment in technology typically hinders labor productivity and economic growth, highlighting a critical misunderstanding of the relationship between technological investment and economic advancement.

4. **Answer:** A

Options: A) The pooled cross-sectional model; B) The random effects model; C) The fixed variable regression model; D) The instrumental variables regression model; E) The generalized least squares approach

Note: The fixed effects panel model is also referred to as the pooled cross-sectional model because both approaches analyze data across multiple entities over time while controlling for unobserved individual heterogeneity, effectively pooling observations to estimate causal relationships.

5. **Answer:** A

Options: A) output must have increased proportionally more than population.; B) the cost of living and population must have increased.; C) the cost of living must have decreased.; D) population must have decreased.; E) output and population must have increased.

Note: The correct answer is based on the economic principle that an increase in the

standard of living typically results from a rise in output per capita, meaning that the total output must grow at a rate greater than the population growth to enhance individual well-being.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: A natural monopoly achieves allocative efficiency when price equals marginal cost because this condition ensures that resources are allocated in a way that maximizes total welfare, reflecting the true cost of producing the last unit of the good.

7. **Answer:** True

Options: A) True; B) False

Note: The slope of the consumption function represents the change in consumption resulting from a change in disposable income, which is precisely defined as the marginal propensity to consume (MPC).

8. **Answer:** False

Options: A) True; B) False

Note: The statement is false because the actual reserves of a bank are determined not only by the required reserve ratio but also by the total amount of deposits the bank holds, which is not provided in the statement.

9. **Answer:** False

Options: A) True; B) False

Note: In a stationary autoregressive process, shocks are temporary and do not alter the long-term trend of the data, as the process reverts to its mean over time.

10. **Answer:** False

Options: A) True; B) False

Note: A decrease in the reserve ratio means banks are required to hold less in reserves, allowing them to lend more, which typically results in a decrease in excess reserves rather than an increase.

Long Form Response

11. **Answer:** Contractionary fiscal policy in the United States, characterized by reduced government spending or increased taxes, leads to higher domestic interest rates due to decreased aggregate demand. As the government withdraws fiscal stimulus, the demand for borrowing typically outpaces the supply, prompting lenders to raise interest rates to attract savings. Higher interest rates tend to strengthen the dollar in the short term as foreign investors seek higher returns on U.S. assets. However, over time, the contractionary measures can lead to reduced economic growth, which may decrease investor confidence and result in a depreciation of the dollar. This complex interaction

illustrates that while initial effects can bolster the dollar, sustainable contractionary policies may ultimately weaken it as economic fundamentals shift.

Note: The answer correctly identifies that contractionary fiscal policy reduces aggregate demand, leading to higher domestic interest rates as lenders seek to attract savings, which subsequently strengthens the dollar as foreign investors pursue better returns on U.S. assets.

12. **Answer:** Pure public goods are characterized by two primary features: non-excludability and non-rivalrous consumption. This means that once a public good is provided, it is impossible to prevent individuals from using it, and one person's use does not diminish its availability for others. A key implication of these characteristics is that the marginal cost of providing an additional unit of the good to additional citizens is zero; this allows for an unlimited number of individuals to benefit from the good without incurring further costs. Consequently, this leads to challenges in funding and maintaining public goods, as private markets may underprovide them due to the inability to charge consumers directly. Therefore, government intervention is often necessary to ensure the adequate provision of public goods, reflecting their essential role in promoting societal welfare.

Note: correct because it accurately identifies the defining traits of pure public goods—non-excludability and non-rivalrous consumption—which directly lead to the conclusion that the marginal cost of providing additional consumption to citizens is zero, thereby allowing for widespread access without diminishing the good's availability.